

COMMENT – EU China: The light that fails?

What can we expect from EU China relations in the wake of the US' tariff war? Much hangs in the balance.

EU trade commissioner Maros Šefcovic touched down in Brussels after a short and intense first visit to China to reset EU-China trade relations.

Was he successful?

We should know more after he has reported to the college of commissioners next Wednesday (2 April). This is ironically the day that United States president Donald Trump is expected to announce a tariff war against the “dirty countries” of China, Europe and a dozen others. The US is unleashing a trade war of a magnitude unseen since the Continental Blockade during the Napoleonic war, a trade war which may make Senators Smoot and Hawley look like moderates.

Wolf whistling

Faced with impending closure of the US market and depressed domestic demand, China has been eagerly wooing European governments, consumers and investors in recent months.

There was a stream of high level visits across the EU. China cannot afford a trade war on two fronts. While it is content to see Europe politically divided, and help it on its way with overtures to Hungary and others, it does not want to see an economically weak Europe on whose market it relies.

So we can assume that commissioner Šefcovic was welcomed to Zhongnanhai with open arms and that China's leadership was keen to emphasise both its respect for the European project, and its desire to identify areas of better cooperation after five years of tension.

There has been tension because of systematic cyberattacks by Chinese entities on European governments and infrastructure.

There has been tension because of subsidised Chinese exports undermining Europe's shrinking industrial base (electric cars, drones, robotics, AI, solar panels, wind turbines....).

 There has been tension because of Chinese wolf warriors' triumphant jeers at European decline – should we read anything into the appointment of LU Sha-ye as Europe envoy, now not the wolf but the

wooer in chief?

There has tension surrounding Chinese maritime assertiveness – in the South China sea, the Straits of Taiwan and its alleged cable cutting activities in the Baltic and North Seas.

And above all the EU China relationship has been on edge due to China's unbridled support for Russia's invasion of Ukraine, which represented a profound departure from long standing Chinese (declared) policy of non-interference in other countries' affairs and the inviolability of international borders.

It is significant, and it hurts, that Chinese president Xi accepted Russian president Putin's invitation to attend this year's Moscow May Day celebrations, but will not turn up to the EU-China Summit in Brussels the same month.

Scope to cooperate?

No doubt China, and perhaps the EU too, will have been keen at the meeting to stress the two sides' common commitment to keep multilateralism alive, when it is being undermined by the Trump administration: WTO reform, development aid, funding for WHO, UNICEF and other agencies that the US has pulled out of, a renewed commitment to work to achieve the Paris climate targets and the Biodiversity Convention, on which China has largely walked the talk.

In the coming days a group of distinguished Chinese and European scholars will issue a paper detailing how the two blocs could cooperate to keep the WTO system breathing.

In all these areas there is scope for cooperation, not solely because of Europe, but because China does still care about its reputation in the Global South and, apart from securing supplies of food and minerals, would like to help developing nations achieve the levels of poverty reduction that China successfully obtained since the 1990's.

Actions speak louder than words

But it would be naïve to think that because of Trump 2.0 the EU-China relationship will fundamentally change. China's warm words have yet to be followed up by action. And Europe is sceptical in turn.

It would be foolish to think that on the basis of a conversation between the two trade ministers China will change its industrial subsidisation policy or its treatment of European investors or intellectual property. Or that Europe will drop its anti dumping actions on China for nebulous public interest reasons.

So what kind of agenda for the year ahead could have emerged from this encounter?

At best we can expect is agreement to try to move forward the bilateral Investment Agreement that concluded, then aborted, six years ago.

We can expect an update of the customs cooperation agreement in the wake of the “small parcels” problem faced by Europe.

We can hope for a commitment that border checks on product health and safety are done strictly according to WTO rules and without discrimination between EU member states – given China’s professed belief in multilateralism – along with more systematic cooperation between regulators.

The conclusion of the **second phase of the bilateral agreement on protection of geographical indications** (<https://borderlex.net/2019/11/05/eu-bolsters-its-gi-agenda-with-reciprocal-deal-with-china/>) – think prosecco, peking duck and the like – may also be in the offing.

At the lower end of the scale we might at least see agreement to “work together at the level of officials to manage our trade differences and to improve transparency and predictability in our respective actions” . And no I haven’t read the memo..

It would, obviously, be desirable for Europe and China to coordinate their retaliation against Trump’s tariff wars, both to cause maximum pain to the Republican base and to isolate the US even more than it is already isolating itself. My enemy’s enemy is my friend.

But this will not happen because China does not want or need to pay a price for transatlantic drift. It can sit back and watch it happen. It need not worry any more about the US and EU ganging up against it.

T.i i..ime Is On Your Side, yes it is

Former Chinese president Deng Xiaoping in one of his famous aphorisms advised Chinese leaders to “bide your time, hide your capacities” . They can bide their time, even if their capacities are no longer hidden.

China’s GDP overtook that of the EU in 2021 and is likely to reach that of the USA by 2035. And by 2040, which is China’s express timeline, it will be the world leader in all of the advanced industries it identified ten years ago, from quantum to green tech to advanced semi-conductors.

China will in this generation assume its rightful place in the multipolar world it once belonged to and has long hankered for, sharing it with the USA and Europe, with possibly India taking up the rear. This is a given.

The question Beijing’s leaders need to ask themselves though is whether they wish to accomplish this by force and by sheer economic heft, in doing so building a legacy of distrust amongst nations that can never be dispelled and which will massively hamper their goals in the long term – or whether they would like to become a shining example of peaceful coexistence, multilateral cooperation and political and military neutrality.



Will Chinese leaders have the capacity one day to look upon their support for Russia as a strategic mistake that made the world a less safe place and which damaged their own interests? Or not?

For the first time since the 17th Century China now has the economic weight and the political self-confidence to be the kind of country the USA once aspired to be: the green light at the end of the dock, beyond the blue lawn, in Gatsby' s words. And not the light that failed.



(<https://borderlex.net/wp-content/uploads/2024/01/2024-01-30-JOHN-CLARKE.jpg>.) *John Clarke is a former Director for International Relations at the European Commission and senior EU trade negotiator. He previously headed the EU Delegation to the WTO and UN in Geneva.*

